

**FIRST SUPPLEMENT DATED 2nd SEPTEMBER 2013 TO THE PROSPECTUS DATED
17 JULY 2013**

Banco Espírito Santo, S.A.

(incorporated with limited liability in Portugal)

*(acting through its head office or its Madeira Free Trade Zone branch
or its Cayman Islands branch or its London branch or its Luxembourg branch)*

and

BES Finance Ltd.

(incorporated with limited liability in the Cayman Islands)

unconditionally and irrevocably guaranteed by

Banco Espírito Santo, S.A *(incorporated with limited liability in Portugal)*

(acting through its London branch)

€20,000,000,000 Euro Medium Term Note Programme

This Supplement (the “**Supplement**”) to the Prospectus (the “**Prospectus**”) dated 17 July 2013 constitutes a first supplement to the base prospectus for the purposes of article 13 of Part II of the Luxembourg Act dated 10 July 2005 relating to prospectuses for securities (the “**Prospectus Act**”) and is prepared in connection with the €20,000,000,000 Euro Medium Term Note Programme (the “**Programme**”) established by Banco Espírito Santo, S.A. (the “**Bank**” or “**BES**”) and BES Finance Ltd. (“**BES Finance**”). Terms defined in the Prospectus have the same meaning when used in this Supplement.

This Supplement is supplemental to, and should be read in conjunction with, the Prospectus issued by the Bank and BES Finance.

The purpose of this Supplement is: (a) to incorporate by reference the Bank’s unaudited Consolidated Balance Sheet and Income Statement for the six months period ended 30 June 2013 (“the Unaudited Consolidated 1H13 Accounts”) as set out in the press release dated 26 July 2013.

Each of the Bank and BES Finance accepts responsibility for the information contained in this Supplement. To the best of the knowledge of each of the Bank and BES Finance (who have taken all reasonable care to ensure that such is the case) the information contained in this Supplement is in accordance with the facts and does not omit anything likely to affect the import of such information.

1. Financial Statements

- a. Unaudited Consolidated Balance Sheet and Income Statement for the six months period ended 30 June 2013**

On 26 July 2013 the Bank issued a press release disclosing its Unaudited Consolidated 1H13 Results.

The information incorporated by reference that is not included in the crossreference list, is considered as additional information and is not required by the relevant schedules of the Commission Regulation (EC) 809/2004. .

Unaudited Consolidated Balance Sheet and Income Statement for the six months period ended 30 June 2013	Pages
Balance Sheet	38
Income Statement	39

Copies of this Supplement can be obtained from the registered office of the Bank and of BES Finance and from the specified office of the Paying Agent for the time being in Luxembourg.

In addition, copies of this Supplement are available for viewing at the Luxembourg Stock Exchange's website (www.bourse.lu).

To the extent that there is any inconsistency between (a) any statement in this Supplement or any statement incorporated by reference into the Prospectus by this Supplement and (b) any other statement in or incorporated by reference in the Prospectus, the statements in (a) above will prevail.

Save as disclosed in this Supplement, there has been no significant new factor, material mistake or inaccuracy relating to information included in the Prospectus since the publication of the Prospectus.

In accordance with article 13 paragraph 2 of Part II of the Prospectus Act, investors who, before this supplement is published, have already agreed to purchase or subscribe for any Notes to be issued under the Programme, have the right, exercisable within a time limit of two working days after the publication of this supplement, meaning 4th September, 2013, to withdraw their acceptances.

Dated 2nd September 2013